

The Stalled ZONES

The global economic slowdown, political resistance to land acquisition and lack of clarity on tax policy drive developers to pull out of special economic zones

By Nivedita Mukherjee

It's the favourite mantra of policy-makers, politicians and India Inc and they never tire of prescribing it as a driver of growth and employment generation. Tragically though, for all the chants, once a top item on the infrastructure agenda of the Essars, DLFs and Parsvnaths, special economic zones (SEZs) are now off the priority list of corporate investments. There is a veritable queue of companies asking for extensions, resizing and denotification of proposed projects. At least 10 big developers have got denotifications, allowing them to withdraw from the projects, and of the 236 SEZs that are yet to become operationalised, about 20 are waiting to be denotified.

The big why is usually answered by an allusion to the meltdown. The global climate is indeed not conducive to investments in export-oriented manufacturing facilities, what with global growth shrinking to 1 per cent in 2009 from 2.5 per cent

in 2008. The slowdown of SEZs is an older story that dates back to 2008 when there was widespread political resistance to land acquisitions. Add new policy blocks and the new direct tax code that threaten to take away exemptions that make the SEZs attractive to investors. In short, all the things that these large and sprawling complexes house—factories, information technology parks, office space, warehouses targeting export markets—were meant to be free of encumbrances but it didn't happen.

In December 2009, the Union Ministry of Commerce revealed what was widely speculated—that some of the most talked-about SEZs were on the pending denotification list. Among those looking to pull out are DLF, Essar and Parsvnath.

The original idea of the SEZs, explains D.K. Mittal, additional secretary, Ministry of Commerce, was to create an attractive fiscal package with minimum possible regulations to draw investments. "This would trigger a large flow of foreign and do-

mestic investment in infrastructure and productive capacity, leading to generation of additional economic activity and creation of employment opportunities," says Mittal.

When the story was first narrated to corporates and global investors, the Government was not disappointed. In the rush hour that followed the consolidation of disparate pieces of executive orders, press notes, and regulations governing the SEZ framework in February 2006, there was a scramble to get aboard the SEZ bandwagon. These laws, which had been in existence since April 2000 and now being given effect as a cogent piece of legislation called the SEZ Act 2005, threw up visions of world class infrastructure facilities as in Dubai, Malaysia or China.

Companies across sectors, size and segments trooped in with applications before the Board of Approval, committing mega bucks and plans from Ambala to Mangalore. If Reliance Industries talked of pumping in Rs 30,000 crore into two SEZs,

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The SEZ Story So Far

574 SEZs were given formal approvals.

346 were notified.

236 SEZs are not yet operational.

39,120 hectares is the area for notified SEZs.

Rs 98,498 crore is the total investment.

Rs 99,688.87 crore is the worth of exports.

Developers of 29 SEZs have sought denotification and 16 have sought extension.